1. Purpose

A reseller may want to know at what point they can cancel a reservation and break even. This means the point at which they saved over the cost of the pay-as-you-go rate even if they had to pay for the reservation for the remaining term.

Microsoft may change the rules for reservations at any time. TD Synnex does not warrant this this document is accurate. The reseller is responsible for ensuring accuracy in their calculations.

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3. Notes

3.1. Exchanges

- Microsoft has announced that they will stop allowing exchanges at some point in the future. The reseller should monitor Microsoft documentation for an announcement.
- Reservations may be traded-in for Savings Plans at any time.

3.2. Cancellations

- 12% early termination fee possible
- Can’t exceed $50,000 US in a rolling 12-month window.
    - Can’t cancel any more after limit is reached.
- Calculate based on the lowest of the purchase price or current price.

3.3. Break Even

- Calculates the date after which you will have still saved over the pay-as-you-go rate even if the reservation is no longer used.
- If cancelable, the break-even calculation is not needed.
- Include the 12% penalty in the break-even calculation in case Microsoft charges the penalty in the future.
    - The penalty in on the amount canceled, not the entire term.

Example:

The reseller purchases a single D2 v3 reservation for one year. The pay-as-you-go price is $85.41 per month and the one-year RI cost is $57.92 per month.

The total cost at pay-as-you-go for one year is $1,024.92 and the total cost for the reservation for one year is $695.04. The reservation saves 32%. (68% of the pay-as-you-go cost)

If we divide the total cost of the RI ($695.04) by the monthly cost at the pay-as-you-go rate ($85.41) we find that the pay-as-you-go rate would equal the RI at 8 months. We will break even in 8 months. Alternatively, we break even at 68% of 12 months which is also 8 months.

If the reservation is canceled, then this does not matter; however, with cancellation limits this calculation can be helpful.

If cancellation is desired, you will want to add the potential penalty to the cost to determine the breakeven date.

4. Associated Documents

- What are Azure Reservations? - Microsoft Cost Management | Microsoft Learn
- Self-service exchanges and refunds for Azure Reservations - Microsoft Cost Management | Microsoft Learn
- Changes to the Azure reservation exchange policy - Microsoft Cost Management | Microsoft Learn

5. Document Approval

This document has been approved by:

- Manager, Cloud Sales Engineering

6. Document Revision History

Number	***Effective Date***	***Revision History***	***Author***
1.0	5/18/2023	Initial Draft	David Bloom
1.1	6/11/2024	Updated exchange dates	David Bloom
1.2	9/25/2024	Updated exchange dates	David Bloom